

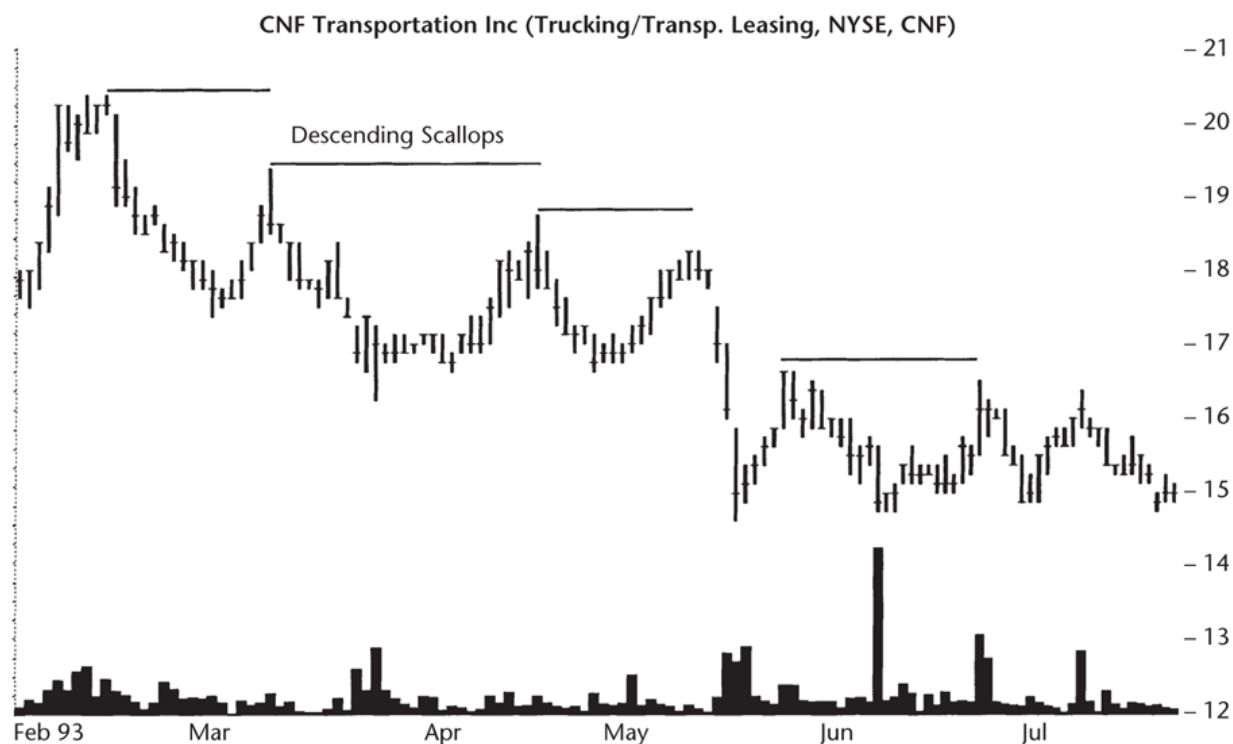


Figure 59.2 Four consecutive descending scallops.

Focus on Failures

Descending scallops fail most often because of two other chart patterns: support and resistance. [Figure 59.3](#) shows the first example. The July scallop begins at A and ends at B. The bowl has a downward price spike, making the turn less smooth than I like to see (the word *yuck* comes to mind). Volume is dome shaped, which is typical for descending scallops.

After B, price moves down, and it looks like it will drop below the bowl low to breakout downward. Since price is declining leading to the scallop, down is the expected breakout direction. Instead, the stock closes above B at C and surprises with an upward breakout.

Price rises to the height of A and throws back to the price at B. Overhead resistance is the culprit. Numerous valleys touch the resistance line and a solid block of horizontal price movement adds strength to the zone in January to March.

As in most throwbacks, price recovers and attempts a new high that succeeds, but not by much. Overhead resistance is there to swat it down,